Chapter Thirty-Five

State of the Financial Sector

The specific contribution of the financial sector to the national income is captured under the category ‘financial services’ in the National Accounts. In 2018–19, gross output value of financial services, at current prices, was assessed at Rs 13.14 lakh crore out of a total gross output value of Rs 347.93 lakh crore. In terms of GVA, the contribution of financial services was Rs 9.52 lakh crore in the total GVA of Rs 171.4 lakh crore. Financial services made up 3.78 per cent of gross output produced in India’s economy and 5.55 per cent of GVA. In other words, 5.55 per cent of total income accruing to the factors of production in India in 2018–19 originated in the financial sector.

While the direct contribution of financial services in the national income might look smaller, the financial sector is all pervasive in the economy. It runs the wheels of the entire economy as it enables production, distribution and consumption of all goods and services. The financial sector manages all investment and capital: savings, equity, debt, or other financial assets. Every economic activity involves payment. The sector handles payments and helps collect taxes, other fiscal income and borrowings. Governments have stopped managing their finances. There is no real treasury in governments today; it only keeps accounts and makes and receives payments.

Economic growth and development depend greatly on investments in factories, infrastructure and workplaces to produce goods and services. Usually, entrepreneurs and investors do not have the funds for such investments. The financial industry has evolved to provide and procure the requisite funds. Investors require different kinds of finance—equity, debt,